

# European Cross-Commodity Risk Pack: Gas + Carbon → Power Curve Implications

Daily desk brief — 2026-05-08

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Generated by *scripts/generate\_brief.py*. AI narrative + news themes via Anthropic Claude.

Data-freshness caveat: Clean Dark (last 2025-12-31, 128d old); Coal (last 2025-12-26, 133d old). Numbers below should be read with this in mind.

## 1 · Executive summary

TL;DR — GB Power at 93rd percentile on Iran supply disruption; storage 12 pp below seasonal; renewable share collapsed to 18th percentile. Geopolitical premium dominant.

GB Power is printing at 126.73 EUR/MWh (93rd percentile), with Iran-driven Hormuz disruption the dominant signal — US patrol reassurance moderates the immediate tail but Libya ramp-up uncertainty keeps the risk premium extended and storage at 34.51% full, 12.4 percentage points below seasonal average (11th percentile), leaves summer refill economics on a knife-edge. Renewable share has collapsed to the 18th percentile with a -32.82% daily swing, forcing thermal plant into full merit-order call and lifting the clean spark to the 92nd percentile, signalling gas-to-power is firmly in-the-money. EUA sits at the 26th percentile and structurally anchored in the lower half of range as the EU Commission floats methane enforcement exemptions for oil firms on energy-security grounds — a bearish-policy signal that erodes long-term carbon carry and eases fossil supplier constraints, capping any structural floor recovery. With coal data 133 days old and clean-dark 128 days stale, the dark spread reads at indicative 50th percentile only — directional context, not bankable. With Hormuz tail-risk reasserting through Iranian supply disruption, gas tightness and compressed EUA headroom alongside in-the-money clean sparks pull front-curve risk materially wider, while stale dark-spread signals and policy-driven carbon softness keep the Cal+1 regime anchored in a thermally-led, carbon-discounted posture.

Generated by claude-sonnet-4-6 via Anthropic API (two-pass extract→narrate). Prompts/responses logged to *ai/logs/*. Next-5d temperature anomaly — DE -2.3°C / FR +0.0°C / GB -0.8°C vs 5-yr seasonal normal (Open-Meteo).

## 2 · Monitor metrics

Primary (cross-commodity headline tiles)

| Metric     | As of      | Latest | Unit      | 1d Δ    | 1w Δ    | 5y pctl | Headline                                          |
|------------|------------|--------|-----------|---------|---------|---------|---------------------------------------------------|
| TTF Gas    | 2026-05-07 | 43.56  | EUR/MWh   | -0.78%  | +1.04%  | 56      | Within typical range                              |
| EU Storage | 2026-05-07 | 34.51  | % full    | +0.73%  | +4.22%  | 11      | 12.4 pp below the 5-yr seasonal average           |
| EUA Carbon | 2026-05-07 | 31.54  | EUR/tCO2  | -1.47%  | +1.75%  | 26      | Within typical range                              |
| DE Power   | 2026-05-08 | 138.00 | EUR/MWh   | +1.42%  | +93.57% | 76      | Within typical range                              |
| GB Power   | 2026-05-08 | 126.73 | EUR/MWh   | -7.99%  | +22.64% | 93      | 93th-percentile of 5-yr range — historically high |
| Renewables | 2026-05-07 | 27.07  | % of load | -32.82% | -41.24% | 18      | Within typical range                              |

| Metric      | As of                 | Latest | Unit    | 1d $\Delta$ | 1w $\Delta$ | 5y pctile | Headline                                          |
|-------------|-----------------------|--------|---------|-------------|-------------|-----------|---------------------------------------------------|
| Clean Spark | 2026-05-08            | 39.27  | EUR/MWh | +1.94       | +78.90      | 92        | 92th-percentile of 5-yr range — historically high |
| Clean Dark  | 2025-12-31<br>(STALE) | 27.95  | EUR/MWh | -0.56       | +11.63      | 50        | Within typical range                              |

Fundamentals inputs (feed derived metrics; not separately traded)

| Metric | As of                 | Latest | Unit  | 1d $\Delta$ | 1w $\Delta$ | 5y pctile | Headline                                        |
|--------|-----------------------|--------|-------|-------------|-------------|-----------|-------------------------------------------------|
| Coal   | 2025-12-26<br>(STALE) | 96.00  | USD/t | -0.57%      | +0.08%      | 8         | 8th-percentile of 5-yr range — historically low |

Spreads → abs EUR/MWh deltas; others → pct. Weekly  $\Delta$  uses 5d trailing means. Full history in *data/<metric>.csv*.

### 3 · Gas + LNG arb

TTF front-month prints at 43.56 EUR/MWh — Within typical range. EU storage at 34.5% full (-12.4 pp vs 5-yr seasonal avg) — 12.4 pp below the 5-yr seasonal average. TTF – JKM (LNG arb) at -5.42 EUR/MWh (JKM 16.84 USD/MMBtu) — JKM richer than TTF — Asia pulls cargoes, marginal European tightening risk.

### 4 · Carbon (EU ETS)

EUA December prints at 31.54 EUR/tCO<sub>2</sub> — Within typical range. A euro of EUA adds ~0.37 EUR/MWh to gas-fired and ~0.85 EUR/MWh to coal-fired generation cost; strength compresses the dark spread faster than the spark.

EU vs UK ETS — Cobblestone's emissions desk trades EUA and UKA. Post-Brexit auction reform narrowed the UKA discount to EUA from £20+/t to single-digit £/t; CBAM phase-in pulls UK compliance demand toward parity. EUA–UKA basis remains a tradable cross-market signal.

Supply / policy signal — EU Commission weakens methane enforcement rules and floats oil-firm exemptions on energy-security grounds; structural signal of climate-rule relaxation under geopolitical pressure.

Side: policy · Polarity: bearish EUA · Source: Politico EU Energy

Exemptions reduce operational friction for fossil suppliers, supporting lower marginal gas cost and thermal generation economics; signals broader climate-rule erosion, depressing long-term EUA carry and structural carbon floor.

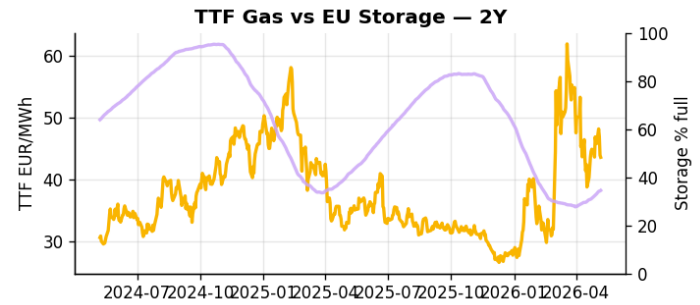
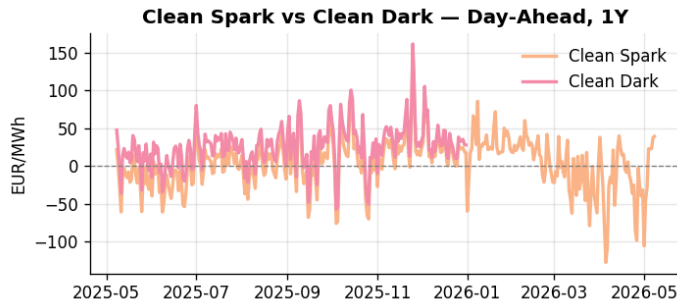
Surfaced from today's news flow by the AI extract pass (*ai/prompts/extract\_v1.md* → *carbon\_policy\_signal*).

### 5 · Power — Day-Ahead & curve

DE day-ahead baseload at 138.00 EUR/MWh — Within typical range. GB day-ahead baseload at 126.73 EUR/MWh — 93th-percentile of 5-yr range — historically high. DE – GB spread at +11.27 EUR/MWh (DE premium) — drives interconnector flow direction. Cross-border net flows (Power Transportation): DE↔FR -43.8 GWh (FR export); GB↔FR -73.2 GWh (FR export); NL↔DE +74.0 GWh (NL export).

Clean spark spread at +39.27 EUR/MWh — 92th-percentile of 5-yr range — historically high. Bridge from gas + carbon fundamentals to gas-fired economics; sustained positive spark = TTF moves transmit directly into the power curve.

Curve shape: DA → W+1 → M+1 → Q+1 → Cal+1 → Cal+2 = 138 / 91 / 91 / 91 / 91 / 91 EUR/MWh — Backwardation (DA – Cal+1 spread +47 EUR/MWh). Forwards are seasonality projections — see Methodology.



#### This week ahead

- Fri 14:30 UTC — EIA weekly natural gas storage report: US storage trajectory anchors LNG export pricing into NW Europe — direct TTF transmission.
- Fri — ENTSO-E weekly day-ahead volumes / system-balance summary: Reads the European generation mix in last 7d — confirms or breaks the Cal+1 thesis.
- Tue 08:00 UTC — AGSI+ daily storage print: First read on the week's gas injection / withdrawal pace; sets the tone for TTF curve shape.

#### Scenarios (24-72h horizon)

|          | Summary                                                                                                                                 | TTF        | DE Power    |
|----------|-----------------------------------------------------------------------------------------------------------------------------------------|------------|-------------|
| Base     | Hormuz patrol reassurance holds; Libya talks ongoing; storage refill gradual; renewables recovering. GB premium moderates to 80th pctl. | -2 to +1%  | -5 to +2%   |
| Upside   | Hormuz chokepoint worsens or Iran escalates; Libya pipeline delays; LNG cargoes diverted. Geopolitical premium reasserts.               | +8 to +15% | +10 to +18% |
| Downside | Iran ceasefire agreed; Libya ramps materially; renewables recovery accelerates; storage refill exceeds seasonal. Geopolitical unwind.   | -6 to -3%  | -12 to -8%  |

Illustrative, not forecasts. Magnitudes sized off historical sensitivity; AI-generated from today's extract pass.

## 6 · Today's themes

Weather watch (next 7d) - Storm · GB · Fri 08 – Thu 14 May — peak gust 48 m/s (~172 km/h) on Sun 10 May. GB wind capacity is large — DA likely soft. Cut-off risk if gusts exceed safety thresholds; opposite tail (sudden tightening) possible. - Storm · FR · Sat 09 – Mon 11 May — peak gust 49 m/s (~176 km/h) on Mon 11 May. Strong wind boost to French generation; FR may export to neighbours. DA print likely below seasonal norm; watch FR-GB IFA flow toward GB.

Watchlist (1–4 weeks) - Hormuz strait reopening timeline and impact on crude/condensate flows to Europe. - EU methane rule enforcement guidance and exemption issuance schedule.

Risk framing — built within a discipline of clear limits and continuous monitoring; observations here are framed as risk inputs, not directional calls. Positioning decisions remain with the desk. Methodology + sources: README §Methodology. Numbers auditable via the snapshot JSONs. Rule-based / informational — not investment advice.